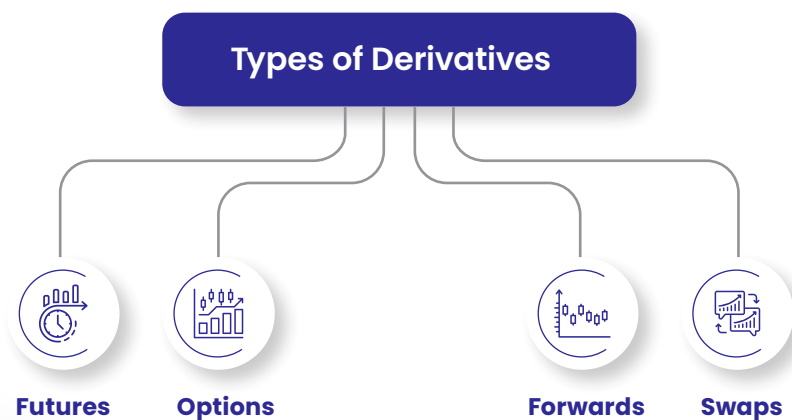


Chapter 1:

Fundamentals of Trading

Derivatives are contracts whose value comes from their underlying assets. Here, the assets can be stocks, bonds, and others.

In the Indian market, “futures” and “options” are two popular derivative types. Other derivatives include “forwards” and “swaps”. In this book, we will focus mainly on options and futures.



India has four types of derivative markets:

Equity derivatives

Commodity derivatives

Currency derivatives

Interest rate derivatives

In this chapter, let us talk about equity derivatives. It will help us understand the fundamentals of options trading.